

Acadian Asset Management (NYSE: AAMI)

A systematic manager whose assets grew 54% in a year and whose margin went from 31% to 40% with them - priced at 14 times next year's earnings by the market and 35 times last year's by the three analysts who still call it a Hold.

RECOMMENDATION	PRICE	TARGET	HORIZON
BUY, with the market-beat stated	\$92.80	\$96.90	12 months, through two more rep
MARKET CAP	ENTERPRISE VALUE	EV / FWD EBITDA	NET CASH
\$3.31bn	\$3.50bn	17.7x	\$-193m

In one paragraph

Acadian runs quantitative equity strategies for institutions - factor-based, systematic, one segment. In the June quarter its management fees were \$176.5m, up 44% on the year, assets under management were \$232.7bn, up 54%, and the economic net income margin was 40.3% against 30.7% a year earlier: the cost base did not grow with the assets, which is what an asset manager's operating leverage is supposed to look like and rarely does. It has beaten the estimate in seven of the last eight quarters, by 27% in the last one. The stock has doubled in twelve months and the sell side - three houses, all neutral - carries an average target of \$81.67, 12% below the price. That target predates the June quarter. On the consensus estimates in the same feed, \$6.46 of earnings in 2027 and \$7.78 in 2028, the stock is at 14 and 12 times. The case is that the street's number is stale, not that the business is cheap on trailing figures. The risk is the one every asset manager carries and this one carries with leverage: the fee stream is a fixed percentage of assets that move with the market, and the Fed hiked last week.

The business

Acadian Asset Management is the Boston quantitative manager that was, until 2025, the operating business inside BrightSphere Investment Group. BrightSphere sold its other affiliates over several years and renamed itself for the one that was left, so what trades under AAMI today is a single-segment company: 'Quant and Solutions', which is Acadian's systematic equity, managed-volatility and multi-asset strategies sold to pensions, sovereign funds and sub-advisory clients.

The model is a management fee on assets, with performance fees on a subset. The management fee is the one to watch. In the June quarter it was \$176.5m, and because it is a percentage of a \$232.7bn asset base, the quarter's revenue is a function of two things: what the strategies returned, and what clients added or withdrew. Both went the right way in the last year - the 54% growth in assets was flows as well as markets - and the question the pitch turns on is how much of each.

Margins tell the operating story. Economic net income margin, the company's own measure, expanded 959 basis points to 40.3% in the quarter. Headcount and technology are largely fixed against assets, so a manager that gathers assets without proportionally adding people earns more of every incremental fee dollar. That is the mechanism behind the 170% rise in GAAP net income on a 45% rise in revenue, and it is also the mechanism that runs in reverse.

The numbers behind it

Quarter	Revenue	YoY	Gross margin	Operating income	Net income
2026-06	\$192m	+51%	+96%	\$40m	\$27m
2026-03	\$167m	+39%	+95%	\$42m	\$24m
2025-12	\$203m	+21%	+196%	\$88m	\$35m
2025-09	\$144m	+17%	+38%	\$27m	\$15m
TTM	\$706m	+31%	+113%	\$196m	\$101m

Reported figures from FMP's statement feed, quarterly as filed; TTM is the sum of the last four. Growth is against the same quarter a year earlier.

The thesis

1. The street's number is a quarter old and the stock has already moved past it

Three analysts cover the name - Evercore at In Line, RBC at Sector Perform, Morgan Stanley at Equal Weight - and every note in the last ninety days is a 'maintain'. Their targets sit between \$80 and \$84 against a \$92.88 price. Nothing was revised after a quarter in which earnings per share came in 27% above the estimate. That is not a view; it is the absence of one, and the same feed's consensus for 2027 earnings, \$6.46, puts the stock at 14.4 times - a multiple the targets do not reflect.

2. Operating leverage that has shown up in the numbers, not in a forecast

Revenue over the trailing four quarters is \$706m, up 31%. Net income over the same four quarters is \$101m. A year ago the June quarter earned \$10.1m; this year it earned \$27.3m on 45% more revenue. The incremental margin on the extra revenue was roughly 30% at the net income line and higher at the operating line. Seven beats in eight quarters is what a cost base held flat against rising assets looks like from the outside.

3. Systematic managers are gathering assets when discretionary ones are not

The 54% asset growth is far above what markets returned. Institutional allocators have been moving mandates toward systematic and factor-based strategies for a decade, and Acadian is one of the few independent, publicly listed pure plays on that flow. The stock being in only one of the twenty small-cap ETFs swept - FYX - is a sign it has not been widely categorised yet; the 3-analyst coverage is another.

Why now

The next report is 29 October, thirty-five days out. The last two quarters each beat by more than 20%, the margin has expanded every quarter for a year, and the three covering analysts have not moved their targets since before the June quarter. Either the October print breaks the run - in which case the market-beta risk below has arrived - or the targets get revised upward to meet the price, which is the pattern the sell side follows when a name has already moved. The screen surfaced it for the earnings surprise (a standardised surprise of 2.78, the top quintile of the sixty-three names screened); it does not credit it for quality, because FMP's gross-profit line for a financial is not meaningful and the screen excludes financials from that flag.

- Third-quarter report on 29 October: management fee run-rate, net flows, and whether the 40% margin held with the September equity drawdown.
- Sell-side target revisions - three houses at Hold with targets below the price is an unstable state; either the targets move or the price does.
- Interim dividend of \$0.10 paid 25 September; any change to the payout policy at the next report would signal how management views the balance sheet.
- Next report 2026-10-29 (35 days).

What it is worth

On trailing earnings the stock is expensive: net income of \$101m over four quarters against a \$3.31bn market value is 33 times. On the consensus for 2027 it is 14.4 times, and for 2028 11.9 times. The gap between the two is the whole valuation argument, and it rests on the estimates being reachable - which in turn rests on assets staying near \$233bn.

The cases below apply multiples the author has chosen, not observed peers. 15 times 2027 earnings is used as the base because a 40%-margin manager growing revenue at 30% has traded at that or above whenever its asset base was not falling; 12 times is the bear, roughly where mature traditional managers sit; the bull applies 16 times to the 2028 estimate. The street's consensus is shown for contrast - it is below all three because it has not been revised.

Enterprise value is \$3.5bn: \$3.31bn of equity plus \$193m of net debt, which is one times EBITDA and not a concern. Book equity is only \$92m, a legacy of BrightSphere's buybacks and affiliate sales; it means the balance sheet offers no floor, and it means return on equity is not a useful number here.

Case	Basis	Implied price	vs spot
Bear	12x 2027E EPS of \$6.46 (author's multiple; assets fall with the market)	\$77.52	-17%
Base	15x 2027E EPS of \$6.46 (author's multiple)	\$96.90	+4%
Bull	16x 2028E EPS of \$7.78 (author's multiple; flows continue)	\$124.48	+34%
Street	consensus of 3 analysts	\$81.67	-12%
Panel	Top-decile earnings surprise: mean 12m of names like it ...of which doubled 5.2%, halved 4.3%	\$107.13	+15%

Street targets are the sell side's twelve-month numbers and skew high; the panel row is the descriptive base rate for names with this profile, not a forecast for this one.

The case against

The bear case is not about the business, which is executing. It is about what the business is: a fee on an asset base that moves with equity markets, held by a company with almost no book equity, that has just doubled in price, whose insiders sold in August, and whose only three analysts all say Hold.

1. Every dollar of fee is a percentage of an asset base that moves with the market

A 20% equity drawdown takes something like 20% off management fees within a quarter, and because costs are fixed, far more than 20% off earnings. That is the operating leverage of the thesis running the other way. The Fed raised rates on 16 September and the Russell 2000 reversed on the day; a systematic manager's assets are not immune to that, and the 2027 estimate assumes they hold.

2. The run has already happened

The stock is up 92% in twelve months and 72% in six. The panel's base rate for names with a top-decile earnings surprise is a 5.2% chance of doubling again and a 4.3% chance of halving over the next year - not lottery odds either way, but the easy part of the move is behind it.

3. Performance fees flatter some quarters

The December 2025 quarter reported \$202.8m of revenue and \$88m of operating income, well above the quarters either side of it. That is performance-fee timing. Any model built on the trailing four quarters carries some of it, and the next December quarter may not repeat it.

4. Insiders sold, nobody covering is a buyer, and the float is thin

The principal accounting officer sold about 25,000 shares in early August at \$87-88, roughly \$2.2m; there were no open-market purchases in ninety days. Three analysts, all neutral. That is not a bearish signal so much as an absence of any bullish one from anyone closer to the company than a screen.

What would prove this wrong

- Net outflows in any quarter: the thesis needs flows, not just markets.
- The October quarter's ENI margin below 36% - the leverage would be reversing.
- A revised sell-side target that stays below \$85 after the October report, which would mean the analysts have looked at the same numbers and disagree.
- Assets under management below \$200bn at any quarter-end.

How this name was found

Surfaced by venture/screen.py on 2026-09-24. The name is a top-ten holding of 1 of the twenty small-cap ETFs swept (FYX), which is how it entered the universe; it ranked 10 of 63 on an evidence score of 2.0.

Flags and their weights: SUE_TOP (moderate, +2.0). The pre-run profile (breakout, momentum, volume) is computed for every name and worth zero by design; in the point-in-time panel it underperformed the universe by 3.4 points a year. Nothing in the screen is established at $|t| \geq 3$ and the pitch does not claim otherwise.

Panel profile: Top-decile earnings surprise. Since 2013, names with this profile returned +15.3% on average over twelve months; 5.2% doubled and 4.3% halved.

Sources

- Acadian Q2 2026 earnings presentation (8-K, 3 Aug 2026):
<https://www.sec.gov/Archives/edgar/data/0001748824/000162828026050801/aamiearningspresentation.htm>
- Q2 2026 call transcript (Motley Fool):
<https://www.fool.com/earnings/call-transcripts/2026/08/03/acadian-asset-management-aami-q2-2026-earnings-call-transcript/>

- Simply Wall St on valuation and the average target:
<https://finance.yahoo.com/markets/stocks/articles/acadian-asset-management-aami-fully-001558132.html>
 - FMP statement, insider, analyst and price feeds (data/venture/fmp)
 - Point-in-time small-cap panel, 2013-2026 (data/pit/panel.parquet)
 - venture/screen.py evidence table and its cited literature
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